

shoot up as gold has a negative correlation with the euro. Says Rajni Panicker, head of commodity research at MF Global: "We believe that gold will continue to touch new highs till old correlations between the dollar and gold don't come back. There is a huge demand for gold from Europe as people are diversifying their assets."

Despite the prices of gold trebling over the last few years, the appetite for gold has remained the same across the world. The global demand for gold stood at 3,552 tonnes in 2007 and stayed steady at 3,456 tonnes in 2009 too. However, the drivers of this demand have changed. While jewellery demand stood at 2,405 tonnes in 2007, this has come down to 1,759 tonnes in 2009. On the other hand, investment demand has doubled from 686 tonnes in 2007 to 1,323 tonnes in 2009.

The story in India is similar but not in absolute terms. While India's overall gold imports have been falling, investors are continuing to bet on this asset. In 2007, India imported 757 tonnes of gold, but this figure has come down to 217 tonnes in 2009. The reason for this is that the demand for gold in India is primarily driven by the jewellery segment.

Gold is emerging as an investment destination in India too, like in other developed economies. For those not interested in owning physical gold can hold shares equivalent to a small lot of gold as exchange traded funds (ETFs). In India, holding in ETFs remain small in absolute terms but have shown strong growth momentum. Total gold holdings of ETFs stood at 9.4 tonnes in 2010, compared to

Precious Figures

Falling demand for jewellery has pulled India's gold imports down

	2007	2008	2009	2010
January	62	18	1	34
February	54	23	0	29
March	53	21	0	28
April	62	24	20	34
May	78	29	18	18
June	82	31	12	—
July	68	24	8	—
August	68	98	22	—
September	100	54	38	—
October	60	44	48	—
November	54	34	16	—
December	16	3	35	—
TOTAL	757	403	217	143

Imports in tonnes



Mass Appeal

The yellow metal has bettered its returns by the passing year

Year	Investment	Current Value	CAGR*
1973-74	20,000	8,53,842	11%
2003-04	1,00,000	2,75,705	18.82%

*Compound annual growth rate; Figures in Rs

4.03 tonnes in 2008. The World Gold Council believes that Indian investors will continue to invest in gold as an insurance policy to protect their wealth from the aftermath of the global financial crisis.

For those looking at gold from an investment point of view, however, experts believe, there is some upside left. Gold is expected to touch \$1,300/ounce in the next six months. Even if the bailout packages do come on stream, the excess liquidity in the system will spark fears of inflation, making gold a preferred hedge once again. Despite all the rallying, there is still some upside in gold. Analysts believe that from here on the prices may move up anywhere between 7 and 15 per cent.

The target for gold is to reach \$1,300 by the year-end if more economies in Europe don't come under stress. However, from here chances of prices falling are higher than that of increasing, as Panicker says: "The downside risk from here is higher than the upside risk. Gold prices may appreciate by \$50 from a high of \$1,240 but the fall could be up to \$100."

Over the medium term, even as economic conditions improve, uncertainty is likely to remain high; not just economic uncertainty but even currency and inflation related uncertainty. This is expected to drive gold prices up even further. Anyone who doubts the importance of investing in gold because of high prices should turn to the RBI. The Central bank bought gold last year when the IMF put up 400 tonnes for sale. Gold accounts for 6.9 per cent of the RBI's total reserves, making it the 11th largest holder of the precious metal in the world. A World Gold Council report says: "With ongoing uncertainties surrounding the US dollar and the euro, the search for alternative international asset choices within the central bank sector should clearly involve consideration of gold." Whichever way gold may move in the short term, but there is no debate on where this precious metal is headed in the long term, which is up. ■

Class Act

Returns from investment in gold outshine others

	6 months	1 year	3 years	5 years
	Dec '09-May '10	June '09-May '10	June '07-May '10	June '05-May '10
Gold	4.38	23.58	111.47	208.16
Sensex	0.11	15.86	16.50	160.97
FD (approx)	3	6.50	22.50	43.56

Figures in per cent